

2019–20 Major Projects Report

Department of Defence

© Commonwealth of Australia 2020

ISSN 1036–7632 (Print)

ISSN 2203–0352 (Online)

ISBN 978-1-76033-605-9 (Print)

ISBN 978-1-76033-606-6 (Online)

Except for the content in this document supplied by third parties, the Australian National Audit Office logo, the Commonwealth Coat of Arms, and any material protected by a trade mark, this document is licensed by the Australian National Audit Office for use under the terms of a Creative Commons Attribution-NonCommercial-NoDerivatives 3.0 Australia licence. To view a copy of this licence, visit <http://creativecommons.org/licenses/by-nc-nd/3.0/au/>.

You are free to copy and communicate the document in its current form for non-commercial purposes, as long as you attribute the document to the Australian National Audit Office and abide by the other licence terms. You may not alter or adapt the work in any way.

Permission to use material for which the copyright is owned by a third party must be sought from the relevant copyright owner. As far as practicable, such material will be clearly labelled.

For terms of use of the Commonwealth Coat of Arms, visit the *It's an Honour* website at <https://www.pmc.gov.au/government/its-honour>.

Requests and inquiries concerning reproduction and rights should be addressed to:

Senior Executive Director
Corporate Management Branch
Australian National Audit Office
19 National Circuit
BARTON ACT 2600

Or via email:

communication@anao.gov.au.





Canberra ACT
30 November 2020

Dear Mr President
Dear Mr Speaker

In accordance with the authority contained in the *Auditor-General Act 1997*, I have undertaken a review of the status of selected major Defence equipment acquisition projects, as at 30 June 2020, as presented by the Department of Defence. The report is titled *2019–20 Major Projects Report*. I present the report of this review to the Parliament.

Following its presentation and receipt, the report will be placed on the Australian National Audit Office's website — <http://www.anao.gov.au>.

Yours sincerely

A handwritten signature in black ink, which appears to read 'Grant Hehir', is positioned above the printed name.

Grant Hehir
Auditor-General

The Honourable the President of the Senate
The Honourable the Speaker of the House of Representatives
Parliament House
Canberra ACT

AUDITING FOR AUSTRALIA

The Auditor-General is head of the Australian National Audit Office (ANAO). The ANAO assists the Auditor-General to carry out his duties under the *Auditor-General Act 1997* to undertake performance audits, financial statement audits and assurance reviews of Commonwealth public sector bodies and to provide independent reports and advice for the Parliament, the Australian Government and the community. The aim is to improve Commonwealth public sector administration and accountability.

For further information contact:

**Australian National Audit Office
GPO Box 707
Canberra ACT 2601**

Phone: (02) 6203 7300

Fax: (02) 6203 7777

Email: ag1@anao.gov.au

Auditor-General reports and information about the ANAO are available on our website:

<http://www.anao.gov.au>

Assurance Review Team

Michelle Page	Erica Welton
Philip Rebula	Anora Harris
Wira Wibowo	Sara Casey
Jocelyn Watts	David Van Schoten
David Retnam	Katarina Ivanovic-Likic

Contents

Australian National Audit Office

Glossary	ix
Part 1. ANAO Review and Analysis	1
Summary and Review Conclusion.....	3
About the Major Projects Report.....	3
Major Projects selected for review	3
Engagement objective and scope.....	6
Review methodology.....	6
Report structure	7
The role of the Joint Committee of Public Accounts and Audit.....	9
Overall outcomes	9
Statement by the Secretary of Defence	9
Conclusion by the Auditor-General	9
Key observations from the review.....	10
ANAO's analysis of project performance	11
Cost.....	13
Schedule	14
Capability	17
Impact of COVID-19 on the Major Projects.....	17
Cost.....	17
Schedule	18
Capability	18
1. The Major Projects Review.....	19
Review scope and approach.....	19
Review methodology.....	20
Acquisition governance.....	21
Results of the review.....	27
2. Analysis of Projects' Performance	37
Project performance analysis by the ANAO.....	37
Cost performance analysis.....	40
Budget Expended and Project Maturity	40
Second Pass Approval and 30 June 2020 approved budget.....	41
Budget performance	48
Schedule performance analysis	52
Time Elapsed and Project Maturity	52
Schedule slippage and acquisition type by approval date	54
Schedule performance	61
Capability performance analysis	67

Department of Defence

Part 2. Defence Major Projects Report.....	71
Secretary's Foreword	73
Overview.....	75
Key Achievements	75
Governance, Audit and Continuous Improvement.....	76
Key Findings from Audits.....	76
Entry to and exit from the 2019-20 Major Projects Report	76
Overall Annual Performance.....	77
COVID-19 Impacts on MPR projects.....	78
Defence Strategic Environment.....	78
2020 Defence Strategic Update and 2020 Force Structure Plan	78
Defence Assistance to the Civil Community: 2019-20 Bushfire Crisis & COVID-19 Pandemic.....	79
Defence Review of Project Performance.....	80
Cost	80
Understanding Budget Variation.....	80
In-Year Cost.....	84
Project Progress	84
Schedule.....	86
Schedule Variation in Context	86
Materiel Scope and Capability.....	90
Acceptance into Service	91
Acquisition Governance.....	91
CASG Independent Assurance Reviews	91
Smart Buyer.....	92
Enterprise Project Performance Framework	93
Enterprise Project Performance Reporting.....	93
Agreements	94
Quarterly Performance Report	94
Projects of Interest.....	94
Projects of Concern	95
Defence's consideration of Projects of Concern.....	95
Enterprise Reform Program.....	95
Cost of Producing the MPR.....	96
Improvement Initiatives.....	96
Risk Reform.....	96
Monthly Reporting Module & Project Performance Review.....	97
Project Maturity Scores	97
System Program Office Reform.....	98
Improved Contract Management.....	98
Australian Industry Capability	99
Defence Finance Reform.....	101

Appendices	102
Appendix 1: List of Projects Removed from the Major Projects Report Since Inception	102
Appendix 2: Acquisitions categories.....	104
Appendix 3: Project Maturity.....	105
Appendix 4: Capability Life Cycle	109
Appendix 5: Glossary	110
Appendix 6: Lessons learned	113

Project Data Summary Sheets

Part 3. Assurance by the Auditor-General and the Secretary of Defence	117
Independent Assurance Report by the Auditor-General	119
Statement by the Secretary of Defence.....	121
Project Data Summary Sheets	125

2019–20 Major Projects Report Guidelines

Part 4. JCPAA 2019–20 Major Projects Report Guidelines	369
---	------------



Report snapshot

Auditor-General Report No.19 2020–21 2019–20 Major Projects Report (MPR)



What is the purpose of the MPR?

- ▶ The MPR is an annual review of the Department of Defence's major defence equipment acquisitions, undertaken at the request of the Parliament's Joint Committee of Public Accounts and Audit (JCPAA).
- ▶ Its purpose is to provide information and assurance to the Parliament on the performance of selected acquisitions.
- ▶ This year, it includes 25 major projects.
- ▶ This is the 13th Major Projects Report since its commencement in 2007–08.



What did we find?

- ▶ The Auditor-General concluded:
Based on the procedures I have performed and the evidence I have obtained, nothing has come to my attention that causes me to believe that the information in the 25 Project Data Summary Sheets in Part 3 (PDSSs) and the Statement by the Secretary of Defence, excluding the forecast information, has not been prepared in all material respects in accordance with the 2019–20 Major Projects Report Guidelines, as endorsed by the JCPAA.



What is reviewed?

The Department of Defence prepares Project Data Summary Sheets (PDSS) on selected major defence equipment acquisition projects in accordance with guidelines endorsed by the Joint Committee of Public Accounts and Audit.

The ANAO reviews the information in the PDSSs in accordance with the ANAO Auditing Standards specified by the Auditor-General under the *Auditor-General Act 1997*.

The PDSSs cover:

1. Project background and government approvals
2. Financial performance
3. Schedule performance
4. Delivery against agreed scope
5. Risks and issues
6. Project maturity
7. Lessons learned by the project
8. Management accountability for the project

\$78.7bn

is the value of the 25
Defence Major Projects
reviewed.

5 of 25

Defence Major Projects
experienced in-year
schedule slippage.

98%

is the expected delivery against
agreed scope across the 25
Major Projects.

Glossary

First Pass Approval	(if required) is the Government decision to select a specific option(s) and proceed with agreed timeframes, technical requirements and financial commitments to Second Pass Approval.
Initial Materiel Release (IMR)	is a milestone that marks the completion and initial release of Acquisition Project supplies required to support the achievement of Initial Operational Capability.
Initial Operational Capability (IOC)	is the capability state relating to the in-service realisation of the first subset of a capability system that can be employed operationally. Declaration of initial operating capability is made by the Capability Manager, supported by the results of operational test and evaluation and declaration by the Delivery Group(s) that the fundamental inputs to capability have been delivered.
Second Pass Approval	is the Government decision to acquire a fully defined and costed capability.
Final Materiel Release (FMR)	is a milestone that marks the completion and final release of Acquisition Project supplies required to support the achievement of Final Operational Capability.
Final Operational Capability (FOC)	is the capability state relating to the in-service realisation of the final subset of a capability system that can be employed operationally. Declaration of final operational capability is made by the Capability Manager, supported by the results of operational test and evaluation and declaration by the Delivery Group(s) that the fundamental inputs to capability have been delivered.

Part 1. ANAO Review and Analysis

Summary and Review Conclusion

About the Major Projects Report

1. The Department of Defence's (Defence) major defence equipment acquisition projects (Major Projects) continue to be the subject of parliamentary and public interest. This is due to their high cost and contribution to national security, the challenges involved in completing them within the specified budget and schedule, and to the required capability, and their contribution to industrial and employment policy objectives.
2. The Major Projects Report (MPR) comprises Defence information and commentary on selected Major Projects, and assurance and analysis of that information by the Australian National Audit Office (ANAO). The objective of the MPR is 'to improve the accountability and transparency of Defence acquisitions for the benefit of Parliament and other stakeholders.'¹
3. The ANAO has reviewed information provided by Defence regarding 25 of its Major Projects in this thirteenth annual report (2018–19: 26). In February 2012, the Parliament's Joint Committee of Public Accounts and Audit (JCPAA) identified this review as a 'Priority Assurance Review', under subsection 19A(5) of the *Auditor-General Act 1997* (the Act), allowing the ANAO full access to the information gathering powers under the Act.
4. Defence's Capability Acquisition and Sustainment Group (CASG) manages the process of bringing new defence capabilities into service and providing information for ANAO review as part of the MPR process. As at 30 June 2020, CASG was managing 206 active major and minor capital equipment projects worth \$130.5 billion², with an in-year budget of \$8.7 billion.³ Defence capitalised some \$8.8 billion from these projects in 2019–20.⁴
5. The 2020 *Defence Strategic Update* adjusted some of the strategic policy objectives of the 2016 *Defence White Paper* and foreshadowed that the Defence Budget will grow over the next ten years to \$73.7 billion in 2029–30, with total funding over the decade of \$575 billion (including approximately \$270 billion of investment in Defence capability).^{5 6}

Major Projects selected for review

6. Major Projects are selected for inclusion in the MPR based on the criteria included in the 2019–20 *Major Projects Report Guidelines* (the Guidelines), as endorsed by the JCPAA.⁷ They represent a selection of the most significant Major Projects managed by CASG.

1 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 473: Defence Major Projects Report (2016–17)*, (2018), Executive Summary, p. 1.

2 Department of Defence, *Defence Annual Report 2019–20*, Defence, Canberra, Chapter 3, Annual Performance Statements, 2020, p. 42.

3 Department of Defence, *Defence Portfolio Budget Statements 2019–20*, Defence, Canberra, 2019, p. 20.

4 Department of Defence, *Defence Annual Report 2019–20*, Defence, Canberra, Chapter 3, Annual Performance Statements, 2020, Appendix A Financial Statements, Note 3.2A, p. 204.

5 Department of Defence, *2020 Defence Strategic Update*, p. 7.

6 Department of Defence, *Defence Portfolio Budget Statements 2020–21*, Defence, Canberra, 2020, p. 5.

7 The 2019–20 *Major Projects Report Guidelines* were endorsed by the JCPAA in September 2019 and are included in **Part 4** of this report.

7. The total approved budget for the Major Projects included in this report is approximately \$78.7 billion, covering 60 per cent of the total budget of active major and minor capital equipment projects of \$130.5 billion.⁸ The selected projects are listed in Table 1.

⁸ Department of Defence, *Defence Annual Report 2019–20*, Defence, Canberra, Chapter 3, Annual Performance Statements, 2020, p. 42.

Table 1: 2019–20 MPR projects and approved budgets at 30 June 2020 ^{1,2}

Project Number (Defence Capability Plan)	Project Name (on Defence advice)	Abbreviation (on Defence advice)	Approved Budget \$m
AIR 6000 Phase 2A/2B	New Air Combat Capability ³	Joint Strike Fighter	16,631.3
SEA 4000 Phase 3	Air Warfare Destroyer Build ³	AWD Ships	9108.9
SEA 5000 Phase 1	Future Frigates	Future Frigates	6291.8
SEA 1000 Phase 1B	Future Submarines Design Acquisition ³	Future Subs	5925.8
LAND 400 Phase 2	Combat Reconnaissance Vehicles ³	Combat Recon. Vehicles	5761.7
AIR 7000 Phase 2B	Maritime Patrol and Response Aircraft System	P-8A Poseidon	5362.4
AIR 9000 Phase 2/4/6	Multi-Role Helicopter ³	MRH90 Helicopters	3773.9
SEA 1180 Phase 1	Offshore Patrol Vessel ³	Offshore Patrol Vessel	3701.4
AIR 5349 Phase 3	EA-18G Growler Airborne Electronic Attack Capability	Growler	3505.9
LAND 121 Phase 3B	Medium Heavy Capability, Field Vehicles, Modules and Trailers ³	Overlander Medium/Heavy	3398.6
AIR 9000 Phase 8	Future Naval Aviation Combat System Helicopter	MH-60R Seahawk	3219.3
LAND 121 Phase 4	Protected Mobility Vehicle – Light (PMV-L) ³	Hawkei	1987.5
AIR 8000 Phase 2	Battlefield Airlift – Caribou Replacement ³	Battlefield Airlifter	1439.2
AIR 7000 Phase 1B	MQ-4C Triton Remotely Piloted Aircraft System	MQ-4C Triton	1311.4
SEA 1654 Phase 3	Maritime Operational Support Capability	Repl Replenishment Ships	1084.7
AIR 5431 Phase 3	Civil Military Air Management System ³	CMATS	975.6
LAND 200 Tranche 2	Battlefield Command System ³	Battlefield Command System	969.7
JP 2072 Phase 2B	Battlespace Communications System Phase 2B	Battle Comm. Sys. (Land) 2B	947.1
SEA 1439 Phase 5B2	Collins Class Communications and Electronic Warfare Improvement Program	Collins Comms and EW	610.7
SEA 3036 Phase 1	Pacific Patrol Boat Replacement	Pacific Patrol Boat Repl	504.3
LAND 53 Phase 1BR	Night Fighting Equipment Replacement	Night Fighting Equip Repl	446.7
SEA 1439 Phase 3	Collins Class Submarine Reliability and Sustainability ⁴	Collins R&S	445.8
SEA 1442 Phase 4	Maritime Communications Modernisation	Maritime Comms	444.0
SEA 1448 Phase 4B	ANZAC Air Search Radar Replacement	ANZAC Air Search Radar Repl	429.4
JP 2008 Phase 5A	Indian Ocean Region UHF SATCOM	UHF SATCOM	422.1
Total	25		78,699.2

Note 1: The 2019–20 MPR Guidelines, at **Part 4** of this report, include 30 projects. Subsequent to endorsement of the 2019–20 MPR Guidelines in September 2020, five projects were removed from the MPR based on the low-risk nature of the remaining activities to FOC. Once a project is selected for review, it remains within the portfolio of projects under review until the JCPAA endorses its removal, normally once it has met the capability requirements of Defence.

Note 2: SEA 5000 Phase 1 Future Frigates, SEA 1000 Phase 1B Future Submarines Design Acquisition, LAND 400 Phase 2 Combat Reconnaissance Vehicles, AIR 7000 Phase 1B and LAND 200 Tranche 2 Battlefield Command System are included in the MPR for the first time in 2019–20.

Note 3: These projects have been the subject of individual performance audits. See Table 7 for more information.

Note 4: SEA 1439 Phase 3 Collins Class Submarine Reliability and Sustainability is a group of 24 activities primarily sustainment in nature. While not an acquisition project, it has been included at the JCPAA's request.

Source: The Project Data Summary Sheets in **Part 3** of this report.

Engagement objective and scope

8. The objective of this assurance engagement and related procedures is to provide the Auditor-General's independent assurance over the status of the selected Major Projects. The status of the selected Major Projects is reported in the *Statement by the Secretary of Defence* (see **Part 3** of this report) and the Project Data Summary Sheets (PDSSs) prepared by Defence (see **Part 3** of this report). Assurance from the ANAO's review is conveyed in the *Independent Assurance Report* by the Auditor-General (see **Part 3** of this report).

9. The following forecast information found in the PDSSs is excluded from the scope of the ANAO's review:

- Section 1.2 Current Status—Materiel Capability Delivery Performance, and Section 4.1—Measures of Materiel Capability Delivery Performance;
- Section 1.3 Project Context—Major Risks and Issues, and Section 5—Major Risks and Issues; and
- forecast dates where included in each PDSS.

10. Accordingly, the Auditor-General's *Independent Assurance Report* does not provide any assurance in relation to this information. However, material inconsistencies identified in relation to this information are required to be considered in forming the Auditor-General's conclusion.

11. The exclusions to the scope of the review, noted above, are due to a lack of Defence systems from which to provide complete and accurate evidence⁹ in a sufficiently timely manner to facilitate the review. This has been an area of focus of the JCPAA over a number of years¹⁰, and it is intended that all components of the PDSSs will eventually be included within the scope of the ANAO's review.

12. Separate to the formal assurance review, the ANAO has undertaken an analysis of key elements of the PDSSs—including cost, schedule, progress towards delivery of required capability, project maturity, and risks and issues. Longitudinal analysis across these key elements of projects has also been undertaken.

13. Defence provides further insights and context in its commentary and analysis contained in **Part 2**. This commentary and analysis is not included within the scope of the ANAO's review.

Review methodology

14. The criteria for Defence's preparation of information for ANAO review are provided by the Guidelines approved by the JCPAA. There is an expectation that Defence has procedures in place designed to ensure that project information and data was recorded in a complete and accurate manner, for all 25 projects.

15. The ANAO has reviewed the PDSSs prepared by Defence as a **priority assurance review** under subsection 19A(5) of the *Auditor-General Act 1997* (the Act), allowing the ANAO full access to the information gathering powers under the Act. The ANAO's review provides limited assurance and was undertaken in accordance with the applicable Auditing Standards. The ANAO's review

9 For example, Defence project risk management records can be managed in spreadsheets, where the risk to the completeness and accuracy of records is too high to be included within the scope of the review.

10 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 473: Defence Major Projects Report (2016–17)*, (2018), Recommendation 2, p. vii.

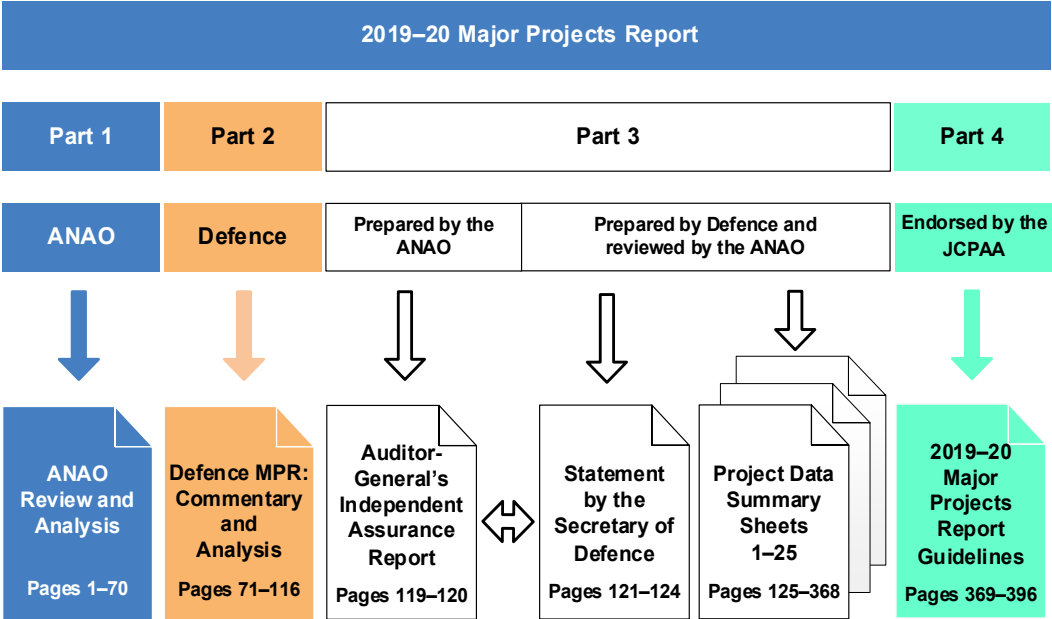
included an assessment of Defence’s systems and controls, including the governance and oversight in place, to ensure appropriate project management. The ANAO also sought representations and confirmations from Defence senior management and industry (through Defence) in relation to the status of the Major Projects in this report.

Report structure

16. The report is organised into four parts:
- **Part 1** comprises the ANAO’s review and analysis (pp. 1–70);
 - **Part 2** comprises Defence’s commentary, analysis and appendices (not included within the scope of the *Independent Assurance Report* by the Auditor-General) (pp. 71–116);
 - **Part 3** incorporates the *Independent Assurance Report* by the Auditor-General, the *Statement by the Secretary of Defence*, and the PDSSs prepared by Defence as part of the assurance review process (pp. 117–368); and
 - **Part 4** reproduces the *2018–19 Major Projects Report Guidelines* endorsed by the JCPAA, which provide the criteria for the compilation of PDSSs by Defence (pp. 369–396).

Figure 1, below, depicts the four parts of this report.

Figure 1: 2019–20 Report structure



Note: To assist in conducting inter-report analysis, the presentation of data in the PDSSs remains largely consistent and comparable with the 2018–19 MPR.

Project Data Summary Sheets

17. The PDSSs include unclassified information on project performance, prepared by Defence.¹¹ As projects generally appear in the MPR for multiple years, changes to the PDSS from the previous year are depicted in bold orange text in the PDSS.

18. Each PDSS comprises:

- Project Header: including name; capability and acquisition type; Capability Manager; approval dates; total approved and in-year budgets; stage; complexity; and an image;
- Section 1—Project Summary: including description; current status including financial assurance and contingency statement; and context, including background, uniqueness, major risks and issues, and other current sub-projects;
- Section 2—Financial Performance: including budgets and expenditure; variances; and major contracts in place (in addition to quantities delivered as at 30 June 2020);
- Section 3—Schedule Performance: providing information on design development; test and evaluation; and forecasts and achievements against key project milestones, including Initial Materiel Release (IMR), Final Materiel Release (FMR)¹², Initial Operational Capability (IOC) and Final Operational Capability (FOC)¹³;
- Section 4—Materiel Capability Delivery Performance: provides a summary of Defence's assessment of its expected delivery of key capabilities, the extent to which milestones were achieved (particularly where caveats are placed on the Capability Manager's declaration of significant milestones), and a description of the constitution of each key milestone;
- Section 5—Major Risks and Issues: outlines the major risks and issues of the project and remedial actions undertaken for each;
- Section 6—Project Maturity: provides a summary of the project's maturity, as defined by Defence¹⁴, and a comparison against the benchmark score;
- Section 7—Lessons Learned: outlines the key lessons that have been learned at the project level (further information on lessons learned by Defence is included in Defence's Appendix 6 in **Part 2** of this report); and
- Section 8—Project Line Management: details current project management responsibilities within Defence.

11 The MPR Guidelines provide that data of a classified nature is to be prepared in such a way as to allow for unclassified publication.

12 IMR and FMR are milestones that Defence utilises to mark the completion and release of acquisition project supplies required to support the achievement of IOC and FOC respectively. They are defined in the relevant MAA (Materiel Acquisition Agreement). See Department of Defence, Defence Materiel Standard Procedure (Project Management) DMSP (PROJ) 11-0-008, *Initial Materiel Release And Final Materiel Release Across The Project Lifecycle*, Defence, Canberra, 2013, p. 2. See also the Glossary at p. ix of this report.

13 Initial Operational Capability is the capability state relating to the in-service realisation of the first subset of a capability system that can be employed operationally. Final Operational Capability is the capability state relating to the in-service realisation of the final subset of a capability system that can be employed operationally. Declaration of IOC and FOC is made by the Capability Manager, supported by the results of operational test and evaluation and declaration by the Delivery Group(s) that the fundamental inputs to capability have been delivered. See Defence's Appendix 4 in **Part 2** of this report.

14 The project maturity framework — outlined in the Department of Defence's CASG Procedure (PM) 001 – *Project Maturity Scores*, Defence, Canberra, 2020 — is a methodology used to quantify the maturity of projects as they progress through the acquisition life cycle. See further explanation in paragraphs 1.69–1.72 of this report.

The role of the Joint Committee of Public Accounts and Audit

19. The JCPAA has taken an active role in the development and review of the MPR program. Each year, the Committee considers the draft Guidelines, incorporating the selection of projects for review, and provides the Committee's views in relation to the Guidelines' content and development, prior to their endorsement. Following endorsement by the Committee, the Guidelines provide the criteria for Defence's preparation of PDSSs for ANAO review. The main changes to the MPR Guidelines have tended to follow on from the JCPAA's recommendations.¹⁵

20. The main change to the MPR Guidelines this year was amending the entry criteria to include the Future Subs project.¹⁶ This was in response to the JCPAA's interest in including major naval shipbuilding projects in the MPR due to their large size and complexity.

Overall outcomes

Statement by the Secretary of Defence

21. The *Statement by the Secretary of Defence* was signed on 20 November 2020. The Secretary's statement provides his opinion that the PDSSs for the 25 selected projects 'comply in all material respects with the Guidelines and reflect the status of the projects as at 30 June 2020'.

22. In addition, the *Statement by the Secretary of Defence* details significant events occurring post 30 June 2020, which materially impact the projects included in the report, and which should be read in conjunction with the individual PDSSs. These include: Joint Strike Fighter, Future Subs, Combat Recon. Vehicles, P-8A Poseidon, MRH90 Helicopters, Hawkei, Repl Replenishment Ships, Battlefield Command System, Battle Comm. Sys. (Land) 2B, Collins Comms and EW, Pacific Patrol Boat Repl, Night Fighting Equip Repl, Maritime Comms, and ANZAC Air Search Radar Repl.

23. The 2019–20 MPR Guidelines require Defence to report in the *Statement by the Secretary of Defence* on projects which have been removed from the MPR which still have outstanding caveats, significant remaining materiel capability or milestones to be delivered. Defence has reported on outstanding caveats in the 2019–20 *Statement by the Secretary of Defence*.

Conclusion by the Auditor-General

24. The Auditor-General has concluded in the *Independent Assurance Report* for 2019–20 that 'nothing has come to my attention that causes me to believe that the information in the 25 Project Data Summary Sheets in **Part 3** (PDSSs) and the *Statement by the Secretary of Defence*, excluding the forecast information, has not been prepared in all material respects in accordance with the 2019–20 *Major Projects Report Guidelines* (the Guidelines), as endorsed by the Joint Committee of Public Accounts and Audit.'

15 Under subsection 8(1) of the legislation establishing the JCPAA, the *Public Accounts and Audit Committee Act 1951*, one of the duties of the Committee is to 'examine all reports of the Auditor-General (including reports of the results of performance audits) that are tabled in each House of the Parliament' and 'report to both Houses of the Parliament, with any comment it thinks fit, on any items or matters in those reports, or any circumstances connected with them, that the Committee thinks should be drawn to the attention of the Parliament'.

16 While still in the design phase and not yet having received second pass government approval, the Future Submarine project has nonetheless incurred significant expenditure of public money. See Auditor-General Report No.22 2019–20 *Future Submarine Program—Transition to Design*.

Key observations from the review

25. The ANAO's review includes Defence's project management and reporting arrangements contributing to the overall governance of Major Projects. The ANAO has made observations regarding the following areas:

Status of JCPAA Recommendations and Requests

- Following a JCPAA recommendation made in September 2018¹⁷, Defence advised the Committee in May 2020 that Predict! will be mandated as the risk management system.¹⁸ Defence advised the ANAO in October 2020 that there have been no updates to Defence policy to reflect that Predict! is now the mandated risk management tool. An update to Defence's policy is expected in May 2021 (see paragraphs 1.66 to 1.68).
- Following JCPAA recommendations made in May 2016 and October 2017¹⁹, Defence considered updates to the Project Maturity Score policy, but did not implement changes. Defence advised the ANAO in August 2020 that the Project Maturity Score will no longer be required as an input to the management of project performance. Defence further advised that an alternative to replace the Project Maturity Score in the PDSS will not be implemented. Therefore project maturity will not be reported in future MPRs (see paragraphs 1.71 to 1.72).
- Following JCPAA recommendations made in May 2014 and May 2016²⁰, Defence is yet to implement a system of materiel capability delivery performance/scope reporting, with a robust methodology applicable to materiel acquisition (see paragraphs 2.54 to 2.59).
- Following a JCPAA request made in 2018²¹ 'on how Defence major project cost variations and the costs of retaining project staff over time might be reported annually in future Major Projects Reports,' Defence advised that it is not yet in a position to provide the staff cost component of projects and its systems are not capable of calculating the cost of retaining project staff over time (see paragraph 1.51 and paragraphs 1.53 to 1.56).

Status of Auditor-General Report Recommendations

- In July 2020 Defence closed both recommendations from Auditor-General Report No. 31 2018–19 *Defence's Management of its Projects of Concern* (see paragraphs 1.15 to 1.16).

17 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 473: Defence Major Projects Report (2016–17)*, (2018), List of Recommendations, p. vii.

18 Department of Defence, written supplementary submission 7 to the Joint Committee of Public Accounts and Audit, Inquiry into the 2018–19 Major Projects Report and Future Submarines Project – Transition to Design, p. 11.

19 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 458: Defence Major Projects Report (2014–15)*, (2016), Recommendation 3, p. 50.

Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 468: Defence Major Projects Report (2015–16)*, (2017), Recommendation 2, p. vii.

20 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 442: Inquiry into the 2012–13 Defence Materiel Organisation Major Projects Report*, (2014), pp. 37–39.

Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 458: Defence Major Projects Report (2014–15)*, (2016), pp. 48–49.

21 The reporting of cost variations was also raised at the JCPAA's public hearing into the 2016–17 MPR on 23 March 2018 and at estimates hearings of the Finance and Public Administration Legislation Committee on 27 February 2018.

- Defence closed the recommendation from Auditor-General Report No. 3 2019–20 *Defence's Quarterly Performance Report on Acquisition and Sustainment* in March 2020 (see paragraphs 1.18 to 1.19).

Defence Acquisition Governance

- The importance of capturing Government decisions in internal Defence documentation and ensuring that Materiel Acquisition Agreements are appropriately aligned with these decisions (see paragraphs 1.23 to 1.28).
- Defence's implementation of the Smart Buyer Framework to support strategic decision making in the acquisition of major projects. The framework was not utilised at the Second Pass government approval stage for projects in the current MPR (see paragraphs 1.29 to 1.30).
- Defence has advised that it is transitioning to a different reporting system for reporting on the status of acquisition projects from August 2020 (see paragraphs 1.31 to 1.33).
- Projects' use of contingency funds (see paragraph 1.45). One project in the MPR, MRH90 Helicopters, committed contingency funds of \$26.3 million in 2019–20 for supportability and performance risks.
- The status of CASG's Risk Management Reform Program (initiated by Deputy Secretary CASG in 2017) and establishment of the CASG Risk Management Framework (see paragraphs 1.59 to 1.62).
- A number of projects had not fully met the requirements of Defence's Project Risk Management Manual Version 2.5 (PRMM V2.5) (see paragraph 1.64).
- Defence updated its policy on Lessons Learned in May 2020. Compliance is not expected until May 2021 (see paragraphs 1.73 to 1.75).
- Defence has not defined, in its internal policies and procedures, the terms 'caveat' or 'deficiency' relating to the declaration of significant capability milestones. The ANAO has observed use of these terms by Defence to represent exceptions to the achievement of significant milestones (see paragraphs 1.76 to 1.80).

ANAO's analysis of project performance

26. In addition to its limited assurance review, the ANAO has undertaken an analysis of key elements of the Defence PDSSs—relating to cost, schedule, progress towards delivery of required capability, project maturity, risks and issues, and longitudinal analysis across these key elements of projects.

27. Table 2 provides: summary data on Defence's progress toward delivering the capabilities for the Major Projects covered in this report; and compares current data against that reported in previous editions of the MPR. This section also contains a summary analysis of the three principal components of project performance: cost, schedule and capability.

Table 2: Summary longitudinal analysis¹

	2017–18 MPR	2018–19 MPR	2019–20 MPR
Number of Projects	26	26	25
Total Approved Budget at 30 June	\$59.4 billion	\$64.1 billion	\$78.7 billion
Total Approved Budget at final Second Pass Approval	\$50.2 billion	\$53.9 billion	\$68.9 billion
Total Expenditure Against Total Approved Budget	\$32.4 billion (54.5%)	\$36.3 billion (56.6%)	\$38.9 billion (49.4%)
Total In-year Expenditure Against In-year Budget	\$4.6 billion (98.6%)	\$4.8 billion (93.4%)	\$5.7 billion (92.5%)
Total Budget Variation since initial Second Pass Approval ²	\$23.0 billion (38.7%)	\$24.4 billion (38.0%)	\$24.2 billion (30.7%)
Total Budget Variation since final Second Pass Approval ³	\$9.2 billion (15.5%)	\$10.2 billion (15.9%)	\$9.8 billion (12.5%)
In-year Approved Budget Variation	-\$0.3 billion (-0.5%)	\$1.2 billion (1.9%)	\$0.1 billion (0.1%)
Total Schedule Slippage ⁴	771 months (31%)	651 months (25%)	507 months (21%)
Average Schedule Slippage across Projects ^{4a}	31 months	25 months	22 months
In-year Schedule Slippage	103 months (4%)	92 months (4%)	68 months (3%)
Total Project Maturity ⁵	1484 / 1820 (82%)	1485 / 1820 (82%)	1301 / 1750 (74%)
Total Reported Risks and Issues ^{6, 7}	138	138	142
Expected Capability (Defence Reporting) ⁸			
• High level of confidence of delivery (Green)	98%	98%	98%
• Under threat, considered manageable (Amber)	2%	2%	2%
• Unlikely to be met (Red)	0%	0% ⁹	0% ⁹

Refer to paragraphs 26 to 41 in **Part 1** of this report.

Note 1: The data for the 25 Major Projects in the 2019–20 MPR compares the data from projects in the 2018–19 MPR and 2017–18 MPR. The Major Projects included within each MPR are based on entry and exit criteria in the Guidelines, which have been included in **Part 4** of this report. The entry and exit of projects should be considered when comparing data across years.

Note 2: Where a project has multiple Second Pass Approvals, the MPR has historically reported budget variations from the initial Second Pass Approval. The figures in this row are consistent with prior year reporting. See Table 3 for a breakdown of the major components of this variance, and Table 7 for all real variations.

Note 3: Where a project has multiple Second Pass Approvals, the budget at Second Pass Approval reported in the Header refers to the total budget as at the final Second Pass Approval. The figures in this row use this methodology.

Note 4: Slippage refers to a delay in the current forecast date compared to the original government approved date of FOC. Slippage can occur due to late delivery, increases in scope or at times can be a deliberate management decision. In 2019–20, these figures have been adjusted to exclude delays to a project's schedule that do not result in slippage past the original government approved date, and to exclude schedule reductions over the life of the project. However, paragraph 2.40 reports total schedule reductions over the life of the projects.

Note 4a: As shown in Table 4 below and Table 10 on p. 66 of this report, for the fourteen 2019–20 major projects which have experienced slippage, the range is 1 to 108 months of total slippage.

Note 5: The figures represent the total of the reported maturity scores divided by the total benchmark maturity score, in the PDSSs across all projects.

Note 6: The grey section of the table is excluded from the scope of the ANAO's *priority assurance review*, due to a lack of systems from which to obtain complete and accurate evidence in a sufficiently timely manner to facilitate the review.

Note 7: The figures represent the combined number of open 'high' and 'extreme' risks and issues reported in the PDSSs across all projects. Risks and issues may be aggregated at a strategic level.

Note 8: These figures represent the average predicted capability delivery across all of the Major Projects. This method reduces the effect of any individual project's size on the aggregate figure. Previously, these figures were calculated based on the number of distinct capability measures defined by each project and therefore projects with more capability measures had more of an effect on the aggregate figure.

Note 9: Defence advised in these years that AWD Ships would not deliver one element of capability at FOC (which equated to approximately one per cent). However, across all the Major Projects this percentage rounded to zero per cent.

Cost

28. Cost management is an ongoing process in Defence's administration of the Major Projects. While all projects reported that they could continue to operate within the total approved budget of \$78.7 billion, the MRH90 Helicopters project was required to draw upon contingency funds to complete project activities.

29. The approved budget for Major Projects included in this MPR has increased by \$24.2 billion (30.7 per cent) since initial Second Pass Approval. Budget variations greater than \$500 million are detailed in Table 3, below.²² However, as the MPR predominantly focusses on the approved capital budget for acquisition, the ongoing costs of Project Offices²³, training, replacement capability, etc., are not reported here.

Table 3: Budget variation over \$500m post initial Second Pass Approval by variation type^{1,2}

Project	Variation Type	Explanation	Year	Amount \$b
Scope Increases				14.1
MRH90 Helicopters		34 additional aircraft at Phase 4/6 Second Pass Approval	2005–06	2.3
Joint Strike Fighter		58 additional aircraft at Stage 2 Second Pass Approval	2013–14	10.5
P-8A Poseidon		Four additional aircraft	2015–16	1.3
Real Cost and other Increases				1.8
AWD Ships		Real Cost Increase of \$1.2b offset by \$0.1b transfer for facilities in 2014	2013–14 and 2015–16	1.1
Overlander Medium/Heavy		Project supplementation ³ (\$684.2m) and additional vehicles, trailers and equipment (\$28.0m) at Revised Second Pass Approval	2013–14	0.7
Other budget movements				1.2
Other	Scope increase/budget transfers (net)	Other scope changes and transfers	Various	1.2
Price Indexation – materials and labour (net) (to July 2010) ⁴				2.3
Exchange Variation – foreign exchange (net) (to 30 June 2020)				5.0
Total				24.2⁵

Note 1: For the variations related to all projects and their value, refer to Table 7 of this report. For the breakdown of in-year variation, refer to Table 8 of this report.

²² Individual PDSSs also report on budget variations.

²³ The JCPAA requested in May 2018 that the ANAO report back to the Committee on how Defence Major Projects cost variations and the costs of retaining project staff over time might be reported in future MPRs. See paragraphs 1.53 to 1.56 for the outcomes of this consideration.

Note 2: For projects with multiple Second Pass Approvals, this table shows variations from the initial approval.

Note 3: Defence has advised that 'project supplementation' is a unique term used to describe the approvals history of this project as follows: 'The original amount of \$2549.2, was the Government decision to split Phase 3 into Phase 3A and 3B. In 2011, Government approved Second Pass approval of Phase 3A and the 'Interim Pass' Government approval for Phase 3B. The decision to grant Phase 3B 'Interim Pass' was to allow greater bargaining power for Defence while negotiating Phase 3A. Phase 3B was always going to return to Government for formal Second Pass approval, which occurred in July 2013, once contract negotiations were complete.'

Note 4: Prior to 1 July 2010, projects were periodically supplemented for price indexation, whereas the allocation for price indexation is now provided for on an out-turned basis at Second Pass Approval.

Note 5: Figures do not add precisely due to rounding.

Source: ANAO analysis of the 2019–20 PDSSs.

Schedule

30. Delivering Major Projects on schedule continues to present challenges for Defence, affecting when the capability is made available for operational release and deployment by the Australian Defence Force, as well as the cost of delivery.

31. The total schedule slippage for the 25 selected Major Projects, as at 30 June 2020, was 507 months when compared to the initial schedule.²⁴ This represents a 21 per cent increase since Second Pass Approval. Across MPR projects that have experienced slippage (14 of 23 projects with approved FOC dates²⁵), the average slippage is 36.2 months (3.0 years). Table 4 below includes details of in-year and total schedule slippage by project. The table shows an increase of 68 months of in-year slippage during 2019–20.

32. The total slippage of 507 months in 2019–20 is 144 months lower than the total in 2018–19 of 651 months. This is due to:

- the exclusion of projects which have exited the MPR (LHD Ships, Additional MRTT, ANZAC ASMD 2B, HATS, Battle Comm. Sys. (Land) 2A, and LHD Landing Craft) removing 218 months of slippage from the total reported in 2018–19 (see Table 5);
- a reduction of 6 months of slippage due to the Collins Comms and EW project recovering this slippage in 2019–20;
- the addition of 68 months of in-year slippage described above; and
- the Battlefield Command System project adding 12 months of slippage to the total of 507 months. The slippage occurred prior to the project entering the MPR in 2019–20.

24 As noted in Note 4 of Table 2, slippage refers to a delay in the current forecast date compared to the original government approved date of FOC. These figures exclude delays to a project's schedule that do not result in slippage past the original government approved date and schedule reductions over the life of the project. In November 2017, Defence raised with the ANAO, for the purposes of calculating total schedule slippage, the feasibility of identifying what the proportion of slippage represented by the expanded scope of projects is (for example with respect to the P-8A Poseidon and Collins Comms and EW projects). See Note 2 of Figure 8 of this report which shows that the slippage attributable to increases in project scope is 69 months.

25 Future Frigates and Future Subs are excluded as these projects do not yet have FOC milestones approved by Government.

Table 4: Schedule slippage from original planned Final Operational Capability ¹

Project	In-year (months)	Total (months)	Project	In-year (months)	Total (months)
Joint Strike Fighter ²	0	0	MQ-4C Triton ²	43	43
AWD Ships	0	37	Repl Replenishment Ships ²	0	0
Future Frigates ^{2, 3}	N/A	N/A	CMATS ²	6	34
Future Subs ³	N/A	N/A	Battlefield Command System ²	4	16
Combat Recon. Vehicles	0	0	Battle Comm. Sys. (Land) 2B	0	24
P-8A Poseidon	0	29	Collins Comms and EW	0	30
MRH90 Helicopters	0	89	Pacific Patrol Boat Repl	0	2
Offshore Patrol Vessel	0	0	Night Fighting Equip Repl	0	0
Growler	0	1	Collins R&S	0	108
Overlander Medium/Heavy	0	0	Maritime Comms	3	16
MH-60R Seahawk	0	0	ANZAC Air Search Radar Repl	0	0
Hawkei ²	0	0	UHF SATCOM ²	0	42
Battlefield Airlifter ²	12	36			
Total (months)				68	507
Total (%)				3	21

Note 1: Refer to footnote 24.

Note 2: These projects have been identified by Defence as Projects of Interest (see paragraph 1.21 in **Part 1**).

Note 3: These projects' FOC milestones are yet to be approved by Government.

Source: ANAO analysis of the 2019–20 PDSSs.

33. Platform availability has contributed to the slippage experienced within some projects. For example, Maritime Comms and Collins R&S have been impacted by changes to docking schedules of the Anzac Class frigates and Collins Class submarines respectively. Significant delays have also been experienced by those projects with the most developmental content: AWD Ships, MRH90 Helicopters, CMATS, MQ-4C Triton, and Battle Comm. Sys. (Land) 2B.

34. Table 5, below, provides details of total schedule slippage by project, for projects which have exited the MPR. Compared to the 507 months total schedule slippage for the current 23 Major Projects²⁶, the 27 projects which have exited the MPR²⁷ have reported accumulated schedule slippage of 1146 months, as at their respective exit dates. Table 5 indicates that schedule slippage for projects which have exited the MPR was more pronounced in projects with the most developmental content.

26 Future Frigates and Future Subs are excluded from this analysis as they do not yet have FOC milestones approved by Government.

27 Hornet Refurb and BMS are excluded from this analysis as they did not have FOC milestones approved by Government.

Table 5: Schedule slippage for projects which have exited the MPR ¹

Project	Total (months)	Project	Total (months)
Wedgetail (Developmental)	77	HF Modernisation (Developmental)	136
Super Hornet (MOTS)	0	Armadales (Australianised MOTS)	43
LHD Ships (Australianised MOTS)	37	HATS (Australianised COTS)	0
Hornet Upgrade (Australianised MOTS)	39	Collins RCS (Australianised MOTS)	107
ARH Tiger Helicopters (Australianised MOTS)	82	Battle Comm. Sys. (Land) 2A (MOTS)	39
C-17 Heavy Airlift (MOTS)	0	Hw Torpedo (MOTS)	61
Air to Air Refuel (Developmental)	64	SM-2 Missile (Australianised MOTS)	26
FFG Upgrade (Developmental)	132	ANZAC ASMD 2A (Australianised MOTS)	80
Bushmaster Vehicles (Australianised MOTS)	1	155mm Howitzer (MOTS)	7
Overlander Light (Australianised MOTS)	4	Stand Off Weapon (Australianised MOTS)	37
Additional MRTT (Australianised MOTS)	21	Battle Comm. Sys. (Australianised MOTS)	24
Next Gen Satellite ² (MOTS)	0	C-RAM (MOTS)	2
ANZAC ASMD 2B (Developmental)	75	LHD Landing Craft (Australianised MOTS)	46
Additional Chinook (MOTS)	6		
Total			1146

Note 1: The Hornet Refurb and Battle Management System (BMS) projects are not included in this table as they did not have FOC milestones.

Note 2: Next Gen Satellite shows slippage in Figure 9, which related to the final capability milestones at the time. By the time it reached FOC, a new final capability milestone had been introduced and slippage was reduced.

Source: PDSSs in Major Projects Reports and ANAO analysis.

35. Additional ANAO analysis (refer to Figure 8, on page 59) has compared project slippage against the Defence classification of projects as Military Off-The-Shelf (MOTS), Australianised MOTS or developmental. These classifications are a general indicator of the difficulty associated with the procurement process.

36. Figure 9 (on page 60) provides analysis of projects either completed, or removed from the MPR review, and shows that a focus on MOTS²⁸ acquisitions has assisted in reducing schedule slippage. Prima facie, the more developmental in nature a project is, the more likely it will result in a greater degree of project slippage. Figure 9 was requested by the JCPAA in May 2014.²⁹

37. Longitudinal analysis indicates that while the reasons for schedule slippage vary, it primarily reflects the underestimation of both the scope and complexity of work, particularly for Australianised MOTS and developmental projects (see paragraphs 2.27 to 2.34).

28 Off-The-Shelf: Systems, hardware or software that already exists or is confirmed in service for an equivalent purpose and requires no, or minimal change. Sometimes expressed as commercial off-the-shelf or military off-the-shelf. Department of Defence, *Defence Test and Evaluation Policy*, Defence, Canberra, 2019, Annex 1A, Definitions, p. ii.

29 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 442: Inquiry into the 2012–13 Defence Materiel Organisation Major Projects Report*, (2014), Recommendation 5, p. 31.

Capability

38. The third principal component of project performance examined in this report is progress towards the delivery of capability required by government. While the assessment of expected capability delivery by Defence is outside the scope of the Auditor-General's formal review conclusion, it is included in the analysis to provide an overall perspective of the three principal components of project performance.

39. The Defence PDSSs report that 19 projects in this year's report will deliver all of their key capability requirements. Defence's assessment indicates that some elements of the capability required may be 'under threat', but the risk is assessed as 'manageable'. The five project offices experiencing challenges with expected capability delivery (2018–19: five) are Joint Strike Fighter, MRH90 Helicopters, Hawkei, Battlefield Command System and Battlefield Airlifter. One project office (AWD Ships) reports that it is unable to deliver all of the required capability by FOC.

40. Table 6, below, summarises expected capability delivery as at 30 June 2020, as reported by Defence.

Table 6: Capability delivery

Expected Capability (Defence Reporting)	2017–18 MPR (%)	2018–19 MPR (%)	2019–20 MPR (%)
High Confidence (Green)	98	98	98
Under Threat, considered manageable (Amber)	2	2	2
Unlikely (Red)	0	0 ¹	0 ¹
Total	100	100	100

Note 1: Defence advised in these years that AWD Ships would not deliver one element of capability at FOC (which equates to approximately one per cent of elements required). However, across all the Major Projects this percentage rounds to zero.

Source: PDSSs in Major Projects Reports and ANAO analysis.

41. In addition to reporting on expected capability delivery, Defence has continued the practice of including in the PDSSs declassified information on contractual remedies for projects, including stop payments and liquidated damages. During 2019–20, Combat Recon. Vehicles, Hawkei and UHF SATCOM had negotiated contractual remedies involving stop payments or liquidated damages. Prior settlements for projects within this report related to MRH90 Helicopters, Hawkei, Pacific Patrol Boat Repl, Maritime Comms, and UHF SATCOM.

Impact of COVID-19 on the Major Projects

42. Sixteen of the 25 projects have reported experiencing an impact as a result of the COVID-19 pandemic in their PDSSs. The pandemic has seen projects reporting impacts to cost and schedule.

Cost

43. Six projects reported an impact on project budget as a result of the COVID-19 pandemic. A further two projects highlighted an impact to the budget as an emerging issue. Of the six projects that have reported impact to the budget, four experienced an underspend, citing varying reasons for this (delay to training and support, overseas suppliers, shipyard closures and international travel restrictions). Two projects experienced an overspend – one due to

accelerated payment terms and the other citing FOREX losses. The remaining 19 projects did not report an impact to the project budget.

Schedule

44. Fifteen projects reported an impact on scheduling as a result of the COVID-19 pandemic, relating to:

- i) supplier disruption (supplier production and/or shipping delays);
- ii) workforce limitations – travel (specialists and crew were due to travel both interstate and from other countries to work with/on the projects); and/or
- iii) contractor delays (scope, delivery and certification delays).

45. Some projects identified multiple impacts across these three areas. Ten projects reported nil impacts to scheduling.

Capability

46. No projects reported an impact relating to capability.

47. Further information on COVID-19 impacts is reported in the *Statement by the Secretary of Defence*.

1. The Major Projects Review

1.1 This chapter provides the Australian National Audit Office's (ANAO) overview of the scope and approach adopted for its limited assurance review of the 25 Project Data Summary Sheets (PDSSs) prepared by the Department of Defence (Defence). The chapter also includes information and commentary on developments in Defence's acquisition governance processes, based on the ANAO's review.

Review scope and approach

1.2 In 2012 the Parliament's Joint Committee of Public Accounts and Audit (JCPAA) identified the ANAO's review of Defence PDSSs as a **priority assurance review**, under subsection 19A(5) of the *Auditor-General Act 1997* (the Act). This provided the ANAO with full access to the information gathering powers under the Act. The ANAO's review of the individual project PDSSs, which are reproduced in **Part 3** of the Major Projects Report (MPR), was conducted in accordance with the auditing standards set by the Auditor-General under section 24 of the Act through its incorporation of the Australian Standard on Assurance Engagements (ASAE) 3000 *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*, issued by the Australian Auditing and Assurance Standards Board.

1.3 The following forecast information is excluded from the scope of the ANAO's review: capability delivery, risks and issues, and forecast dates. These exclusions are due to the lack of Defence systems from which to provide complete and accurate evidence³⁰, in a sufficiently timely manner to complete the review. Accordingly, the *Independent Assurance Report* by the Auditor-General does not provide any assurance in relation to this information. However, material inconsistencies identified in relation to this information are required to be considered in forming the conclusion.

1.4 The ANAO's work is appropriate for the purpose of providing an *Independent Assurance Report* in accordance with the *ANAO Auditing Standards*. However, the review of individual PDSSs is based on a limited assurance approach and is not as extensive as individual performance and financial statement audits conducted by the ANAO, in terms of the nature and scope of issues covered, and the extent to which evidence is required by the ANAO. Consequently, the level of assurance provided by this review, in relation to the 25 major Defence equipment acquisition projects (Major Projects), is less than that provided by the ANAO's program of performance and financial statement audits.

1.5 Separately, the ANAO reviews: developments in Defence's acquisition governance processes (information and commentary on governance issues appears in this chapter); and undertakes analysis of key elements of the PDSSs (information and commentary on systemic issues and longitudinal analysis for the 25 projects reviewed appears in the next chapter).

30 Joint Committee of Public Accounts and Audit, Parliament of the Commonwealth of Australia, *Report 473: Defence Major Projects Report (2016–17)*, (2018), Recommendation 2, p. vii, which recommended transitioning to risk registers with better version control measures than spreadsheets. Defence is transitioning its risk management system to Predict! for all projects in this report, the implementation of which will be reviewed by the ANAO in the next MPR.

1.6 The ANAO's review was conducted in accordance with the *ANAO Auditing Standards* at a cost to the ANAO of approximately \$2.0 million.³¹

Review methodology

1.7 The ANAO's review of the information presented in the individual Defence PDSSs included:

- examination and assessment of the governance and oversight in place to ensure appropriate project management;
- an assessment of the systems and controls that support project financial management, risk management and project status reporting, within Defence;
- an examination of each PDSS and the documents and information relevant to them;
- a review of relevant processes and procedures used by Defence in the preparation of the PDSSs;
- discussions with persons responsible for the preparation of the PDSSs and management of the projects;
- analysis of project information, for example, cost and schedule variances;
- taking account of industry contractor comments provided on draft PDSS information;
- assessing the assurance by Defence managers attesting to the accuracy and completeness of the PDSSs;
- examination of the representations by the Chief Finance Officer supporting the project financial assurance and contingency statements;
- examination of confirmations, provided by the Capability Managers, relating to each project's progress toward Initial Materiel Release (IMR), Final Materiel Release (FMR), Initial Operational Capability (IOC) and Final Operational Capability (FOC); and
- examination of the *Statement by the Secretary of Defence*, including significant events occurring post 30 June, and management representations by the Secretary of Defence.

1.8 The ANAO's review of PDSSs also focused on project management and reporting arrangements contributing to the overall governance of the Major Projects. The ANAO considered:

- developments in acquisition governance (see paragraphs 1.10 to 1.33, below);
- the financial framework, particularly as it applies to the project financial assurance and contingency statements, and Defence's advice that project financial reporting during 2019–20 would be prepared on the same basis as project approvals and expenditure represented in the Portfolio Budget Statements and the Defence Annual Report (i.e. on a cash basis) (see Section 2 of the PDSSs);
- schedule management and test and evaluation processes (see Section 3 of the PDSSs);
- materiel capability / scope delivery forecast assessments, including Defence statements of the likelihood of delivering key capabilities, particularly where caveats are placed on the Capability Manager's declaration of significant milestones (see Section 4 of the PDSSs);

31 In 2018–19 Defence reported that its estimated cost of contributing to the MPR was \$2.4 million. Defence has not identified the estimated cost of its contribution to the 2019–20 MPR. See also page 96 at **Part 2** of this report.